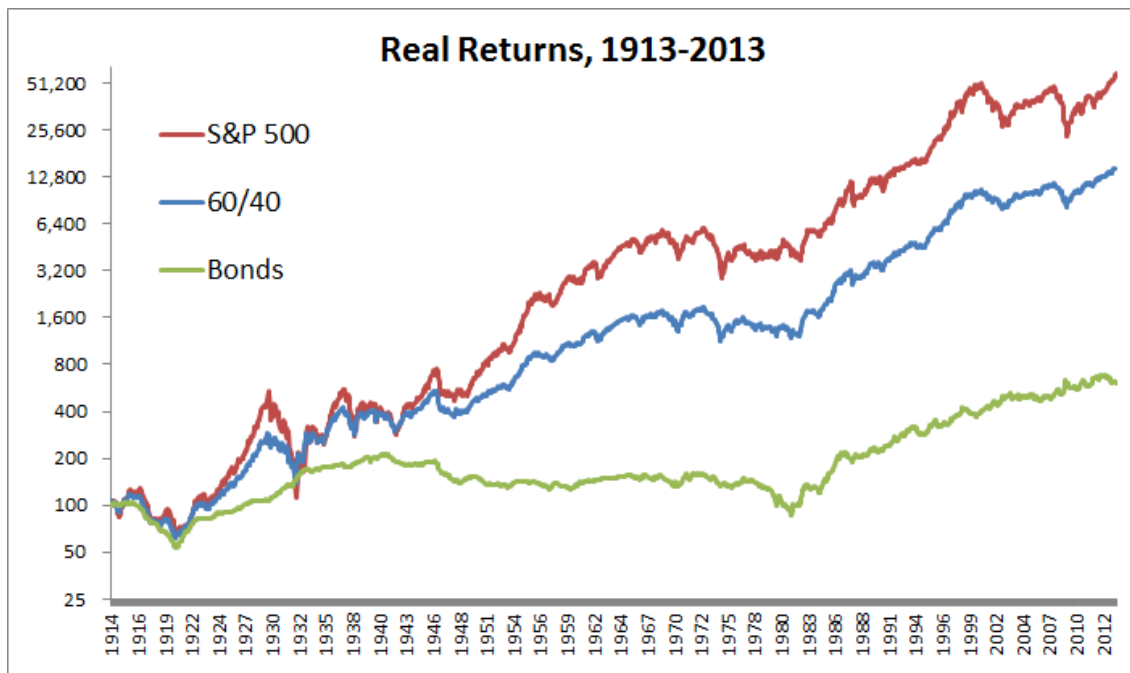


So it looks like you get a nice diversification benefit of investing your portfolio in both assets. While 60/40 doesn't quite achieve the returns of stocks, you reduce your drawdown a bit due to the assets not being perfectly correlated. Figure 12 shows the equity curve of the strategy.

FIGURE 12 –Asset Class Real Returns, 1913-2013



Source: Global Financial Data

One challenge for investors is how much time they spend in drawdowns. It is emotionally challenging, largely, since we anchor to the highest value a portfolio has attained. For example, if your account hit \$100,000 last month up from \$20,000 twenty years ago, you likely think of your wealth in terms of the recent value and not the original \$20,000. If it then declines to \$80,000, most will think in terms of losing \$20,000 rather than the long-term gain of \$60,000. The 60/40 allocation only spends about 22% of the time at new highs, and the other 78% in some degree of drawdown. Drawdowns are physically painful, and the behavioral research demonstrates that people hate losing money much more than the joy of similar gains. To be a good (read: patient) investor you need to be able to sit through the dry spells.

So why not just allocate to the 60/40 portfolio and avoid reading the rest of this book?